



Market research

What is market research?

Market research is defined as the systematic collection and analysis of data about a specific target market. It includes information for your business needs, such as supply and demand, competitors, products, and consumers.



Market research involves learning about

- 1 Customers
- 2 Competition
- 3 Industry



The two main types of market research

1

Primary market
research

2

Secondary
market
research

Primary market research

Any study that is conducted by a person, a firm, or hired outside organizations is referred to as primary market research. This kind of research comprises obtaining market research directly from the source. For instance, one may carry out a survey by personally interviewing a few clients.

Examples:

- **Interviews**
- **Focus Groups**
- **Questionnaires**
- **Surveys**



Why is Market research so valuable?

- Market research involves gathering data to learn more about target demographics and consumers so a business can market itself more effectively and, ultimately, succeed in the market.
- It provides the answers companies need to make decisions that will move them forward instead of back, empowering them to base decisions on data.
- Not all Markets are created equally, some boast a larger market cap yet at the expense of generic goods or services and larger rates of competition.

Example:

Niche market:

- Less competition
- Can often charge a higher price
- Customers tend to be more loyal

Mass market:

- Customer needs and wants are more “general” & less “specific”
- Higher output
- More accesable retail



Pros

- Managing risks
- Increasing sales
- Improving brand recognition
- Measuring brand reputation



Cons

- Can be expensive
- Requires significant time investment
- May only target a small population
- Need personnel to conduct research



How to conduct Market Research?

1



Define your research objective

2



Develop your research questions

3



Gather your research

4



Interpret your findings

5

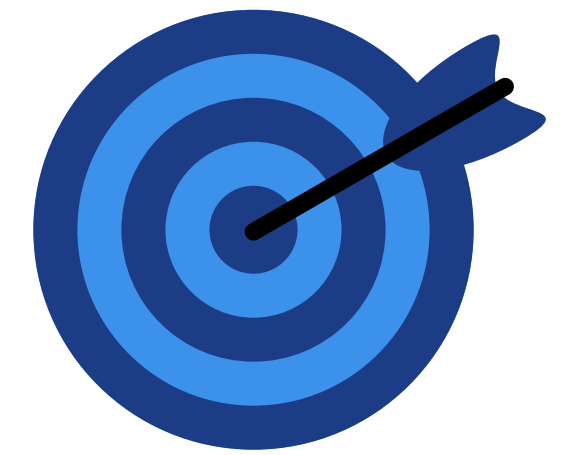


Draw conclusions and make decisions

When you undertake market research, you can use your findings in two ways:

- Start a new business and write your marketing plan.
- Measure the success of your current marketing plan.

Define your research objective



Ask yourself:

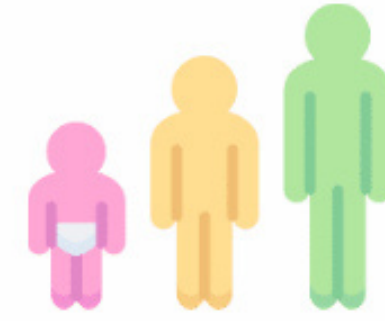
- What is the key information you would like your research to uncover?
- What do you want to know about your customers or your market?

For example, you might want to decide whether to launch a new product or service. Your research process would then be to assess whether the market will accept your new product or service, and how much they'll be willing to pay for it.



Develop your research questions

Once you've identified an objective, come up with a list of research questions for your market, customers and competitors.



Questions for your market:

- What are your market's key demographics (for example, as age and gender)?
- Does the region where you operate have a stable economy?



Questions for your customers:

- Who are your target customers and how do they behave?
- What's the profile of an ideal customer for your business?



Questions for your competitors:

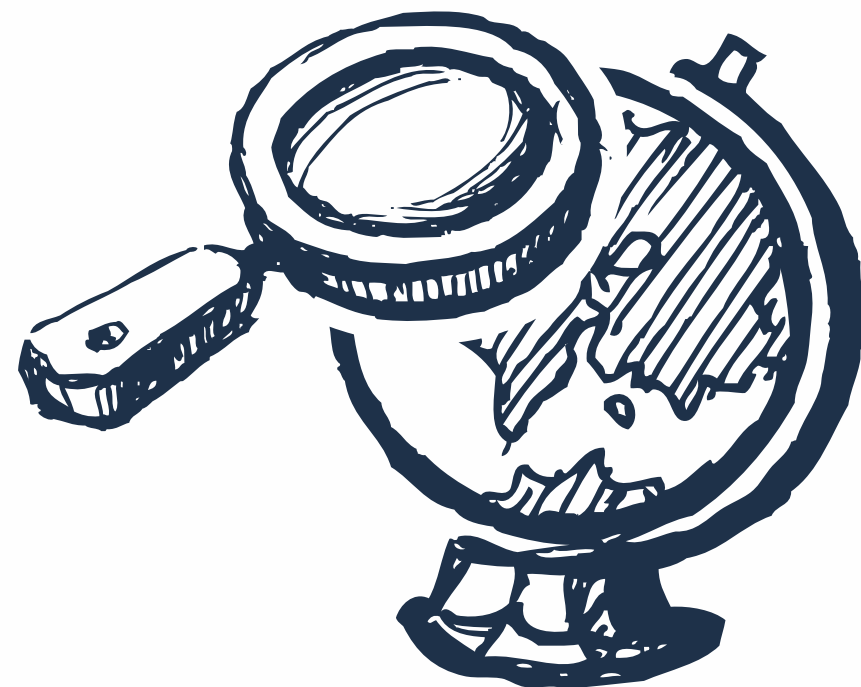
- What's the profile of a typical competitor for your business?
- What are your competitors' main strengths?
- What are your competitors' main weaknesses?



Gather your research

There are 2 types of data collection, and both are based on asking questions:

- **Qualitative information** is more investigative and involves a fewer number of respondents (focus groups and in-depth interviews).
- **Quantitative information** is used to draw specific conclusions and involves a large number of respondents (surveys and questionnaires).



Interpret your findings

This step is about organizing your results and interpreting your findings.

- What have you discovered?



Organize your data:

- Identify any major trends – consider using lists, tables, diagrams and mind-maps to organise your data.
- Use your marketing plan to analyse your data to determine strengths, weaknesses, opportunities and threats (SWOT).



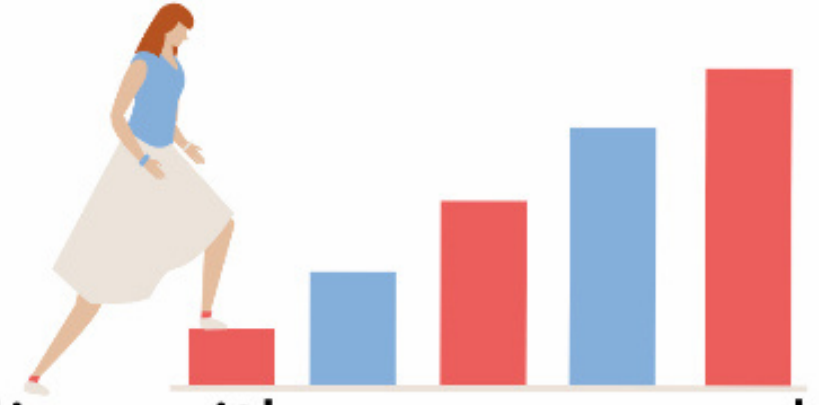
Its important in after you do your research market to interpreting your findings. What is the research telling you?

Draw conclusions and make decisions

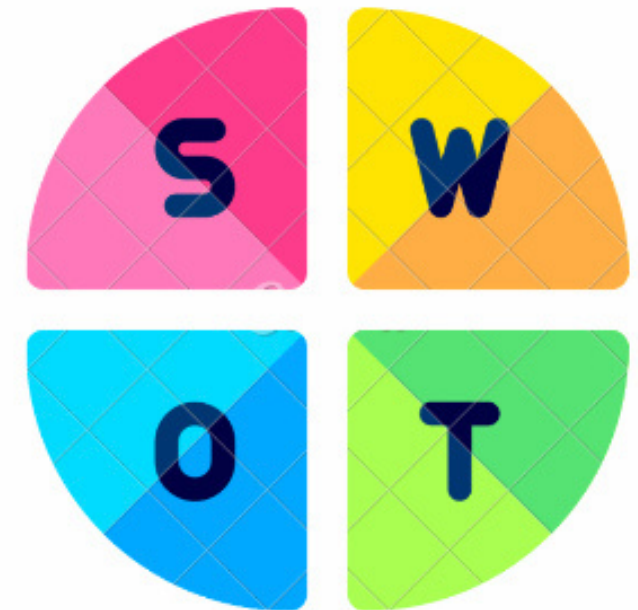


Once you have your findings, ask:

- What do your findings mean for your business?
- What are you going to do about it?



Any conclusions you reach should align with your research **objectives** and **your goals** for your business.



Review all the data collected:

- Ensure there aren't any gaps in your data.
- Examine the major trends or problems in your industry or market.
- Analyze any strengths, weaknesses, opportunities and threats
- Use your research to decide on the tactics that will make up your marketing mix.

Market research methods

Survey:

Businesses regularly distribute surveys to gain insight into customer satisfaction. They may survey customers at key points while engaging with the business, such as while browsing its website or immediately after completing a transaction.



Interviews:

Face-to-face interview with a customer can be a great way to gain deeper insight into their motives, behaviors and opinions toward your company.



Focus groups:

Focus group involves inviting a selection of participants who represent your target market and holding a structured conversation to gather data about their experience with your business. This can be a great way to gain insight from a group of people who share common characteristics with your primary consumer market



Observation:

To gain a deeper understanding of how your customers interact with different aspects of your business. For example, to understand how users interact with your webpage, you might invite actual customers to participate in an observational study in which you watch and record them using your website. Based on this observation, you can draw conclusions about what aspects of your site design are most functional and which you can improve.



Sources:

- <https://www.hotjar.com/blog/market-research/>
- <https://simplicable.com/new/markets>
- <https://www.similarweb.com/corp/blog/research/market-research/what-is-market-research/>
- <https://business.vic.gov.au/business-information/marketing-and-sales/increasing-sales-through-marketing/do-market-research>
- <https://www.thehartford.com/business-insurance/strategy/market-research/business-market-research>
- <https://thinkturquoise.com/blog/market-research/10-key-benefits-of-market-research/>
- <https://www.investopedia.com/terms/m/market-research.asp>
- <https://appsero.com/digital-marketing/mass-marketing-vs-niche-marketing-compared/>
- <https://www.marketingsherpa.com/article/case-study/market-research-examples>
- <https://www.toolsrush.com/market-research-examples/>
- <https://www.indeed.com/career-advice/career-development/market-research-pros-and-cons>
- <https://www.indeed.com/career-advice/career-development/market-research-examples>

